

9 & 9A Stonegate, York, YO1 8AN

YO1 8AN

OFFICE -> RESIDENTIAL CONVERSION

5 units | 3,122 sq ft NIA

GDV	£1,370,000
Total Development Cost	£1,173,940
Profit on Cost	16.7%
Profit on GDV	14.3%
IRR (Annual)	37.0%
Equity Contributed	£400,000

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0. Report Provenance

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1. Executive Summary

This memorandum presents the investment case for the acquisition and conversion of 9 & 9A Stonegate, York, YO1 8AN from office use to 5 residential units under Permitted Development Rights.

The Ask

Total development cost is £1,173,940, funded through £400,000 equity and peak senior debt of £743,690 (development finance), representing gross LTC of 63.4%.

Use of Funds

Category	Amount	% of Total
Acquisition (inc. SDLT)	£447,875	38.2%
Construction	£573,300	48.8%
Professional Fees	£26,000	2.2%
Statutory Costs	£2,480	0.2%
Selling Costs	£22,050	1.9%
Finance Costs	£102,235	8.7%
Total	£1,173,940	100.0%

Headline Returns

GDV of £1,370,000 against total development cost of £1,173,940 generates a profit of £196,060, equating to 16.7% profit on cost and 14.3% profit on GDV. Annualised IRR is 37.0%, with a return on equity of 49.0% over a 18-month programme.

Exit

Primary exit: Sale of all units on the open market.

2. The Opportunity

The property at 9 & 9A Stonegate, York, YO1 8AN is a office premises being offered at £425,000 (Guide price). The building comprises 3 storeys with a gross floor area of approximately 500 m² (5,382 sq ft).

Tenure is freehold. EPC rating: C. Vacancy status: Occupied.

The subject comprises a mid-terrace period building arranged over three floors, with ground-floor retail accommodation and upper parts in ancillary use.

[Information Required: Market rationale — why this asset, why now, demand drivers]

3. The Scheme

Description

Conversion of existing office premises to 5 residential units comprising a total of 290 m² (3,122 sq ft) net internal area.

Proposed Unit Mix

Unit	Type	NIA (m ²)	NIA (sq ft)	Est. Value	£/sq ft	Notes
1	1-Bed	52	560	£250,000	£446	12 Stonegate, sold Feb 2026
2	1-Bed	50	538	£245,000	£455	—
3	1-Bed	50	538	£245,000	£455	—
4	2-Bed	68	732	£310,000	£424	—
5	2-Bed	70	753	£320,000	£425	—
5 units		290	3,122	£1,370,000	£439	

Planning Position

Eligible for conversion under CLASS MA. Eligibility verdict: AMBER.

Pending verification: Vacant for 3+ months.

[Information Required: Design and specification status, procurement route, contractor]

4. Market Evidence

Comparable evidence should support the revenue assumptions adopted in the appraisal. Each comparable is listed below with address, transaction date, size, achieved £/sq ft, and source.

Comparable Notes from Unit Schedule

1-Bed (52 m²) at £250,000 — 12 Stonegate, sold Feb 2026

[Information Required: Full comparable table: address, date, size (sq ft), £/sq ft, source for each transaction]

5. Development Appraisal

Revenue

Item	Amount
Gross Development Value (GDV)	£1,370,000
Blended £/sq ft	£439
Lender-Underwritten GDV	£1,267,250
Variance vs Developer GDV	-£102,750 (-7.5%)

Lender valuation basis: Valuer applied a discount to the sponsor comparables — A. Valuer MRICS, 14 July 2026.

Programme: explicit (anchored 2026-09).

Sales phasing: single disposal in final month.

Refinance: not modelled.

Headline Cost Estimate

Element	Amount	£/sq ft
ACQUISITION		
Purchase price	£425,000	£136
SDLT	£10,750	£3
Legal fees	£7,500	
Survey	£2,500	
Broker fee rate	0.5%	
Other acquisition costs	£0	
Sub-total acquisition (inc. SDLT, fees)	£447,875	£143
CONSTRUCTION		
Build rate	£1,450/m²	
Contingency rate	10.0%	
Fire safety	£15,000	
Sound insulation	£9,000	
Part L compliance	£7,000	
Sub-total construction (inc. contingency)	£573,300	£184
PROFESSIONAL FEES		
Architect	£12,000	
Structural engineer	£4,500	
M&E	£4,000	
Planning consultant	£3,500	
Other professional fees	£2,000	

Element	Amount	£/sq ft
Sub-total professional fees	£26,000	£8
STATUTORY COSTS		
Prior approval fee per dwelling	£96	
CIL / S106	£0	
Building control	£2,000	
Sub-total statutory costs	£2,480	£1
FINANCE COSTS		
Arrangement fee (2.0% of committed net facility)	£15,000	
Exit fee (1.0% of committed gross facility)	£8,200	
Interest (9.0% p.a., 18 months)	£68,835	
Ancillary lender fees	£10,200	
Sub-total finance costs	£102,235	
TOTAL DEVELOPMENT COST	£1,173,940	£376

Appraisal Metrics

Gross Development Value	£1,370,000
Total Development Cost	£1,173,940
Developer Profit	£196,060
Profit on Cost	16.7%
Profit on GDV	14.3%
Return on Equity	49.0%
Equity Multiple	1.49x
IRR (Annual)	37.0%
Residual Land Value (at 20.0% target profit on cost)	£403,477

Residual Land Value Check

At the deal spider's configured target profit on cost of 20.0%, the residual land value is £403,477. The purchase price of £425,000 is £21,523 above the RLV, representing negative headroom of 5.1%. This RLV uses the appraisal's own finance and SDLT (spec §3.18) — it is not re-solved for the residual price.

6. Programme

Timeline

Package	Start	Finish	Curve
Construction	Dec 2026	Aug 2027	straight_line
Professional	Sep 2026	Aug 2027	s_curve
Statutory	Oct 2026	Nov 2026	straight_line

Total programme: 18 months. Peak senior debt of £743,690 is reached in Feb 2028 of the programme. Total interest cost: £68,835.

Monthly Cashflow

Month	Draw	Cum. Draw	Interest	Closing Bal.	Receipts	Equity CF	Cum. Equity CF
Sep 2026	£250,000	£250,000	£1,988	£266,988	£0	£-208,998	£-208,998
Oct 2026	£0	£250,000	£2,002	£268,990	£0	£-2,299	£-211,297
Nov 2026	£0	£250,000	£2,017	£271,007	£0	£-3,066	£-214,363
Dec 2026	£0	£250,000	£2,033	£273,040	£0	£-66,392	£-280,755
Jan 2027	£0	£250,000	£2,048	£275,088	£0	£-66,835	£-347,590
Feb 2027	£14,655	£264,655	£2,173	£291,916	£0	£-52,410	£-400,000
Mar 2027	£67,065	£331,720	£2,692	£361,673	£0	£0	£-400,000
Apr 2027	£66,835	£398,555	£3,214	£431,722	£0	£0	£-400,000
May 2027	£66,392	£464,947	£3,736	£501,850	£0	£0	£-400,000
Jun 2027	£65,766	£530,713	£4,257	£571,873	£0	£0	£-400,000
Jul 2027	£64,999	£595,712	£4,777	£641,648	£0	£0	£-400,000
Aug 2027	£64,143	£659,855	£5,293	£711,085	£0	£0	£-400,000
Sep 2027	£0	£659,855	£5,333	£716,418	£0	£0	£-400,000
Oct 2027	£0	£659,855	£5,373	£721,791	£0	£0	£-400,000
Nov 2027	£0	£659,855	£5,413	£727,205	£0	£0	£-400,000
Dec 2027	£0	£659,855	£5,454	£732,659	£0	£0	£-400,000
Jan 2028	£0	£659,855	£5,495	£738,154	£0	£0	£-400,000
Feb 2028	£0	£659,855	£5,536	£0	£1,370,000	£596,060	£196,060

Cost to Complete

First funding shortfall: none — fully funded throughout. Maximum shortfall: £0.

Month	Remaining Cost	Remaining Funding	Surplus	
Month 1		£667,704	£676,002	£8,298
Month 2		£663,403	£673,703	£10,300
Month 3		£658,320	£670,637	£12,318
Month 4		£589,895	£604,245	£14,350
Month 5		£521,012	£537,410	£16,398
Month 6		£451,774	£470,345	£18,571
Month 7		£382,017	£403,280	£21,263
Month 8		£311,968	£336,445	£24,477

Month	Remaining Cost	Remaining Funding	Surplus
Month 9	£241,840	£270,053	£28,213
Month 10	£171,816	£204,287	£32,470
Month 11	£102,041	£139,288	£37,247
Month 12	£32,605	£75,145	£42,540
Month 13	£27,272	£75,145	£47,873
Month 14	£21,899	£75,145	£53,246
Month 15	£16,485	£75,145	£58,660
Month 16	£11,031	£75,145	£64,114
Month 17	£5,536	£75,145	£69,609
Month 18	£0	£75,145	£75,145

7. Funding Request

Sources & Uses

Sources	Amount	Uses	Amount
Equity contributed	£400,000	Acquisition (inc. SDLT)	£447,875
Additional equity required	£0	Construction	£573,300
Funding gap (unfunded)	£0	Professional fees	£26,000
Senior debt draws	£659,855	Statutory costs	£2,480
Capitalised lender fees	£15,000	Selling costs	£22,050
Rolled-up interest	£68,835	Finance costs	£102,235
Proceeds applied — selling costs	£22,050		
Proceeds applied — exit fee	£8,200		
Total	£1,173,940	Total	£1,173,940

Sources and uses both total £1,173,940 (spec §7 invariant: sum of sources = sum of uses).

Key Lending Metrics

Peak senior debt	£743,690
Net LTC (excl. finance)	64.3%
Gross LTC (incl. finance)	63.4%
LTGDV (developer basis)	54.3%
LTGDV (lender basis)	58.7%
Facility headroom (gross)	£76,310
Interest reserve remaining	£1,165
Interest rate	9.0% p.a.
Interest type	Rolled up
Facility term	18 months
Senior repayment break-even (price)	£764,863
Senior break-even, % of lender GDV	60.4%
Senior break-even, fall from lender GDV	39.6%

Net LTC = cumulative net senior advances (principal draws + capitalised non-interest fees) ÷ development cost before disposal and finance (spec §5.4). Gross LTC = peak gross senior debt ÷ total development cost, TDC (spec §5.5). LTGDV = peak gross senior debt ÷ GDV [developer basis], or ÷ lender-underwritten GDV [lender basis, not available until a lender valuation is recorded]. Senior repayment break-even (spec §5.11) = minimum gross sale price fully redeeming the senior facility, including the disclosed enforcement-cost assumption of £0.

Senior break-even percentages are measured against the lender valuation: Valuer applied a discount to the sponsor comparables — A. Valuer MRICS, 14 July 2026.

[Information Required: Security package — first charge, debenture, personal guarantees]

[Information Required: Drawdown profile, priority of repayment]

8. Returns

Investor Returns

Internal Rate of Return (IRR, annual)	37.0%
Equity Multiple	1.49x
Return on Equity	49.0%
Profit on Cost	16.7%
Profit on GDV	14.3%
Hold Period	18 months
Total Profit	£196,060
Developer profit break-even (price)	£1,170,954

Developer profit break-even (spec §5.12) = minimum gross sale price covering total development cost excluding selling costs (re-solved at that price) — lender- and debt-independent; distinct from the senior repayment break-even above.

[Information Required: Waterfall / promote structure (if JV)]

Lender Position — Day-one LTV

Day-one senior advance	£250,000
Day-one LTV (vs purchase price)	58.8%
Day-one LTV (vs day-one market value)	55.6%

Day-one LTV = the actual month-0 senior advance (not the committed facility) ÷ purchase price, or ÷ day-one market value where provided (spec §5.1). Dividing the total committed facility by purchase price is not a valid day-one LTV and is never reported.

9. Risk Register

#	Risk	Likelihood	Impact	Mitigation
1	Existing building structural capacity for new openings	Medium	High	Intrusive survey before contract
2	Planning prior approval refused or delayed	Low	High	Pre-application advice obtained
3	Construction cost inflation	Medium	Medium	Fixed-price contract at RIBA 4
4	Sales absorption slower than modelled	Medium	Medium	Retain-and-refinance contingent exit

The risk register should cover: planning risk, cost inflation, contractor insolvency, ground conditions / existing structure, MEES/EPC compliance, building safety (Gateway 2/3 where applicable), sales rate, interest rate, and exit liquidity.

[Information Required: Risks not yet addressed: contractor insolvency, ground conditions, MEES/EPC, building safety, sales rate, interest rate, exit liquidity]

10. Sensitivity & Downside

Every scenario below re-runs the full appraisal engine (runAppraisal) against adjusted GDV/cost/timeline/rate assumptions with the committed facility and equity sources held fixed — debt is never re-sized inside a scenario (spec §11.8). FE = facility exceeded, FG = funding gap, NR = senior debt not repaid within the modelled term.

Scenario Comparison

Metric	Base Case	Upside	Downside
GDV adjustment	+0%	+8%	-10%
Cost adjustment	+0%	-5%	+12%
GDV	£1,370,000	£1,479,600	£1,233,000
Total Development Cost	£1,173,940	£1,135,620	£1,271,823
Profit	£196,060	£343,980	-£38,823
Profit on Cost	16.7%	30.3%	-3.0%
Profit on GDV	14.3%	23.3%	-3.1%
IRR (Annual)	37.0%	75.5%	-6.5%
Return on Equity	49.0%	86.0%	-9.7%
Flags	None	None	Facility exceeded

Single-Lever Sensitivity (Tornado)

Each lever is moved alone, with every other assumption at base. Swing is the absolute profit difference between the two endpoints; bars are listed widest swing first (spec \$12.4).

Lever	Range	Profit at low	Profit at high	Swing
GDV	-10% to +10%	£61,115	£331,005	£269,890
Construction cost	-10% to +10%	£254,769	£137,324	£117,445
Timeline	-3 to +3 months	£212,545	£179,201	£33,344
Interest rate	-1.0 to +1.0 pp	£204,054	£187,977	£16,078

Two-Way Sensitivity Matrix: Profit on Cost (%)

	GDV -15%	GDV -10%	GDV -5%	GDV +0%	GDV +5%
Cost -5%	2.0%	7.9%	13.8%	19.7%	25.6%
Cost +0%	-0.5%	5.2%	11.0%	16.7%	22.4%
Cost +5%	-3.0%	2.6%	8.3%	13.8%	19.4%
Cost +10%	-5.3%	0.2%	5.7%	11.1%	16.6%
Cost +15%	-7.5% [FG]	-2.1% [FG]	3.2% [FG]	8.6% [FG]	13.9% [FG]

Two-Way Sensitivity Matrix: LTGDV, developer basis (%)

	GDV -15%	GDV -10%	GDV -5%	GDV +0%	GDV +5%
Cost -5%	61.3%	57.9%	54.9%	52.1%	49.7%
Cost +0%	63.9%	60.3%	57.1%	54.3%	51.7%
Cost +5%	66.4%	62.7%	59.4%	56.4%	53.7%
Cost +10%	68.9%	65.1%	61.6%	58.6%	55.8%
Cost +15%	70.9% [FG]	66.9% [FG]	63.4% [FG]	60.2% [FG]	57.4% [FG]

Senior Debt Position

Senior repayment break-even prints under Key Lending Metrics (§7) and developer profit break-even under Investor Returns (§8).

11. Exit Strategy

Primary Exit

Sale of all units on the open market.

Disposal costs: agent at 1.5% of sale price, legal at £1,500 per transaction.

Redemption Schedule

Month	Senior balance before receipts
Feb 2028	£743,690

Contingent Exit

[Information Required: At least one contingent exit strategy with supporting evidence]

Contingent exits may include: sale of individual units to owner-occupiers at revised pricing, bulk sale to a registered provider or institutional PRS investor, or refinance onto long-term BTL debt.

12. Appendices

A. Assumption Schedule

Assumption	Value	Basis
Purchase price	£425,000	Asking price / offer
SDLT	£10,750	Commercial (non-residential) bands — England/NI only (spec §3.3)
Build rate £/m ²	£1,450	Assumption — verify with QS
Contingency	10.0%	On base build cost only
Blended GDV £/sq ft	£439	Comparable evidence — verify
Committed net facility	£750,000	Confirmed
RLV target profit	20.0%	deal_spider.target_profit_on_cost_pct (configurable)
Interest rate	9.0% p.a.	Market rate / indicative terms
Interest type	Rolled up	Assumed
Loan term	18 months	Assumed programme duration

Assumption	Value	Basis
Arrangement fee	2.0%	Indicative terms
Exit fee	1.0%	Indicative terms
Construction VAT	Treatment unconfirmed	No reduced-rate saving assumed in this appraisal (spec §3.4)
Purchase VAT / TOGC	Unconfirmed	Purchase price treated as VAT-exempt/TOGC — unconfirmed (spec §3.3)
Agent fee	1.5%	Standard estate agent fee
Legal fee (disposal)	£1,500	Estimate

B. Information Required

#	Item
1	Market rationale — why this asset, why now, demand drivers
2	Full comparable evidence table (address, date, size, £/sq ft, source)
3	Planning permission reference / prior approval application status
4	Design and specification status
5	Procurement route and contractor details
6	Programme — key dates (start on site, PC, sales period)
7	Critical path and long-lead items
8	Sponsor / team track record and CVs
9	Professional team and warranties / collateral warranties
10	Insurance details (CAR, PI, etc.)
11	Security package details
12	Drawdown profile
13	Contingent exit strategy with evidence
14	Risk register gaps: contractor insolvency, ground conditions, MEES/EPC, building safety, sales rate, interest rate, exit liquidity

13. Basis of Preparation and Limitations

This document is a DRAFT development appraisal prepared from the sponsor's own inputs. It is report-safe: every hard validation in the model passes. No lender case has been submitted for credit approval, which is why it remains a draft. It is suitable for sponsor review and for preliminary lender appraisal. It is not a credit paper, a valuation, a cost plan, a tax opinion or a legal report, and no lender should rely on it for a credit decision without independently verifying the matters listed below.

What the figures rest on

#	Limitation
1	Construction cost is a headline rate x area estimate with named allowances, not a priced quantity-surveyed package schedule. No provisional sums, fixed-price coverage or package-level exclusions are modelled.
2	VAT is not modelled as a cash flow. Conversion VAT treatment is fact-specific and no reduced-rate saving is assumed; purchase VAT and any TOGC treatment are unconfirmed. An adverse VAT position would increase the funding requirement.
3	Acquisition tax is calculated on the England and Northern Ireland non-residential SDLT bands. A property in Scotland (LBTT) or Wales (LTT) is not correctly taxed by this version.
4	Areas are taken from the unit schedule and the entered construction area. There is no reconciled area bridge between existing GIA, proposed GIA, net internal area and saleable area.
5	Technical, title, occupation and planning due diligence is recorded as narrative and as a free-form risk register, not as an evidenced schedule with status, owner and date.
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